



U.S. Small Business
Administration

Boots to Business Module 7

Financing Your Venture

Version 5.1



ASSOCIATION OF
WOMEN'S BUSINESS CENTERS



MISSISSIPPI STATE
UNIVERSITY

The Boots to Business entrepreneurship training program is provided through the coordinated efforts of the SBA and its valued partner network.
All SBA services are extended to the public on a nondiscriminatory basis. Reasonable arrangements for persons with disabilities will be made if requested at least two weeks in advance.

Objectives

- Understand what types of financing are available for your business
- Understand the difference between debt & equity financing
- Explore what lenders and investors look for when deciding whether to finance your small business

The Money Game

Where Do Entrepreneurs Get Their Money?



Featuring Paul Kedrosky
Senior Fellow, Kauffman Foundation

Why Startups Need Funding

Three Reasons Startups Need Funding

CASH FLOW CHALLENGES

Inventory must be purchased, employees must be trained and paid, and advertising must be paid for before cash is generated from sales.

CAPITAL INVESTMENTS

The cost of buying real estate, building facilities and purchasing equipment typically exceeds a firm's ability to provide funds for these needs on its own.

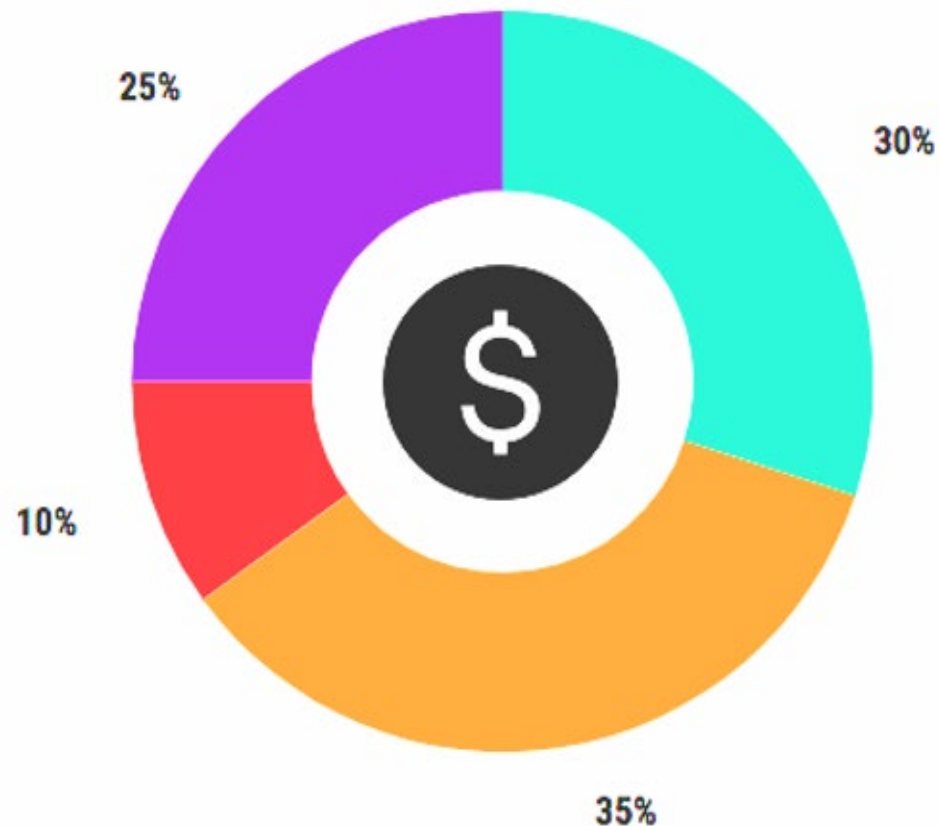
LENGTHY PRODUCT DEVELOPMENT CYCLES

Some products are under development for years before they generate earnings. The up-front costs often exceed a firm's ability to fund these activities on its own.

Where Startups Get Their Funding

Startup Funding

The media often portray highly successful venture-backed startups as the norm, but most startups get funding through other channels or through a combination of methods.

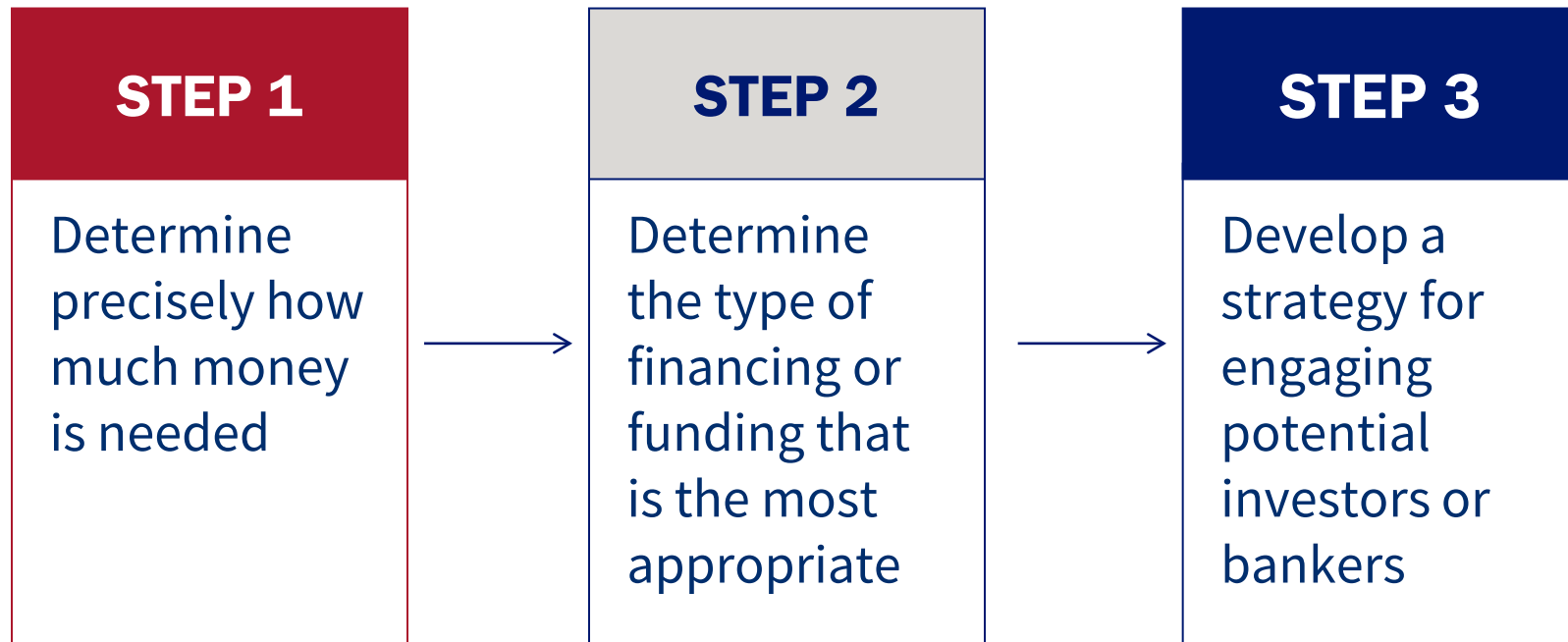


Source: Kauffman Foundation

Personal savings primarily Debt primarily Equity primarily
Other or combo

Preparing to Raise Debt or Equity Capital

Preparation for Debt or Equity Financing



Questions to Ask Yourself

- How much money do I need?
 - Based on projections / not just an estimate
- What will I use the money for?
 - Equipment, Inventory, Working Capital, Marketing, Real Estate, etc.
- How do I show I can pay it back?
- What type of funding do I need?
 - Debt
 - Equity

Personal Funds

You need skin in the game before you seek any external funding!

- Sources of personal funding:
 - Cash/Savings
 - Bootstrapping techniques (getting what you need without spending much on it)
 - Home equity
 - Friends and family
 - Credit Cards
 - Equities and stock portfolio
 - Retirement accounts

Bootstrapping

Finding ways to avoid the need for external financing or funding through creativity, ingenuity, thriftiness, cost-cutting or any means necessary.

Buying used instead of new equipment

Coordinating purchases with other businesses

Sharing office space with other businesses

Leasing equipment instead of buying

Obtaining payments in advance from customers

Making do with what you have

Crowd funding

Vendor financing

*****The most common source of start-up funding***
and most entrepreneurs bootstrap out of necessity.

Debt vs. Equity

DEBT

- Bank loan
(or other lender)
- Allows you to maintain ownership and control
- Requires repayment with interest
- Generally considered the cheapest way to grow

EQUITY

- Involves investors
- Money is exchanged for partial ownership
- Is not paid back
- Means you have shareholders
- Can have huge benefits beyond the money

Sources of Equity Financing

- Crowd Funding
- Angel Investors
- Venture Capital
- Private Equity

- Private Placement
- Public Offering
- Peer-to-Peer

What Investors Typically Look For

- Business Potential – Return on Investment
- Strong Management and a Strong Team
- Business Structure and a Solid Business Plan
- A Reason To Invest
- An Exit Strategy

What Lenders Typically Look For

- Business Plan
- Collateral
- Injection (20 – 25% is typical)
- Good Credit Score
- Financial Projections (1 – 3 years)
- Personal Tax Returns
- Basic Personal & Business Info
- The 5 C's are used to evaluate overall creditworthiness

Debt Financing

What you should know up front...

- Generally, SBA does not give grants to help you start a for-profit small business
- Your credit history is very important
- Rates can be fixed or variable and are negotiated
- Terms usually 1-25 years
- A lender will likely require a personal guaranty from you—they may even require a secured personal guaranty

How a Lender Evaluates the Five C's of Credit

Character:	• General impression you make on lender or investor • Payment History (Personal and Business) Credit Score • Experience, educational background, references, employees experience
Capacity:	• Cash flow, timing of repayment, probability of repayment, contingent sources of repayment
Collateral:	• Pledged assets, signed guarantees
Capital:	• Amount personally invested (skin in the game)
Conditions:	• Intended purpose of the loan: working capital, equipment, inventory • Local economic and industry climate

Character



**Your personal reputation and general impression
you make on your lender; your integrity**

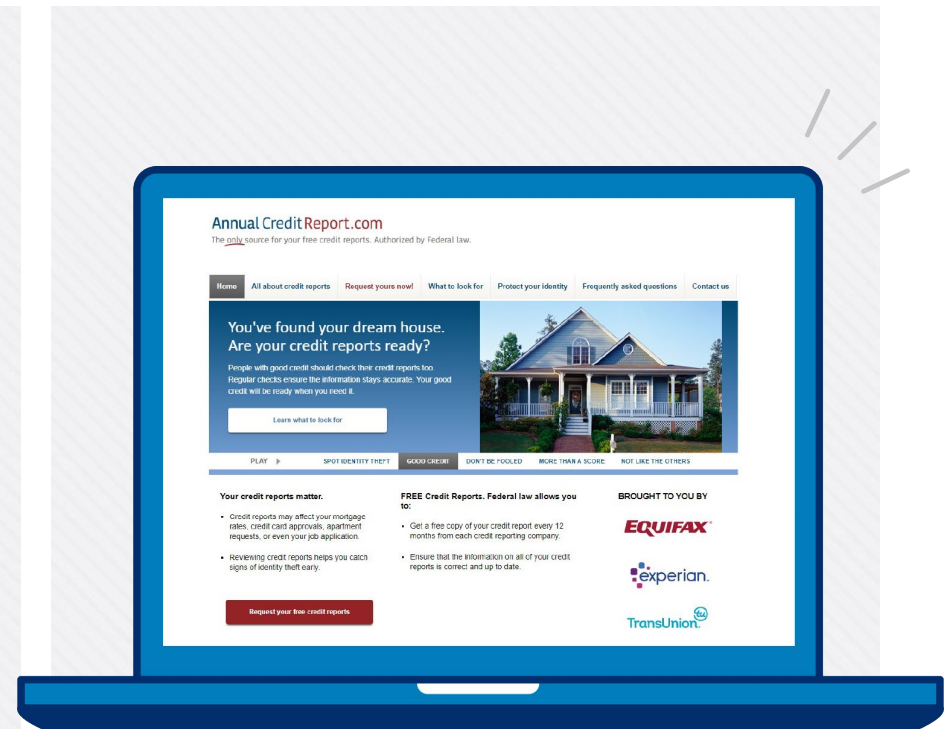
A lender considers who you are:

- Management experience in the industry
- Past credit history
- Banking relationship and loan repayment history
- Personal reputation in the community

Your Personal Credit Standing

How do you find out how you will look to a lender?

- Order a copy of your credit history and FICO® score
- Largest credit reporting agencies
- Equifax
- TransUnion
- Experian



All are required to provide a free report every year – www.annualcreditreport.com

What If Your Credit Score is Low?

Some things can be fixed...

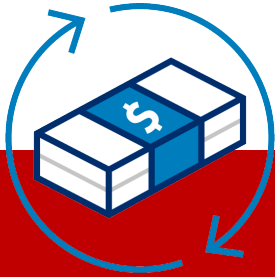
1. Review the reports for mistakes - if any mistakes are found:

- Contact the creditor in writing to ask to have the report fixed
- Contact the credit bureau in writing to find out how to correct wrong information
- All three credit bureaus accept disputes submitted online
- Provide copies of your letters to your lender

2. If report is correct, but negative - try to fix it before applying for a loan:

- Make credit payments on time
- Reduce the amount of debt you owe
- If necessary, work with a non-profit that will provide free credit counseling

Capacity / Cash Flow



Whether your business makes enough money to pay all its bills including the new loan.

The amount of money that you make or expect to make (“cash flow”) should be sufficient to pay all expenses and allow a little extra in case something unexpected comes up.

Takeaway

This is the most important of the 5 C’s because it measures whether you can pay back the loan.

Capacity / Cash Flow



If you are an existing business – lender will look at:

- Historic Cash Flow
- Business Financial Statements
- Minimum Two Years of Tax Returns
- 3-5 Years of Financial Projections



If you are just starting your business – lender will rely on:

- Your Business Plan
- Personal Financial Statement
- 3-5 Years of Financial Projections

Financial Statements You Will Need:

Balance Sheet

ASSETS

Current Assets

Cash	\$123,000
Marketable Securities	200,000
Accounts Receivable	345,000
Inventories	100,000

Total Current Assets **\$768,000**

Long-Term Assets

Building (Gross)	\$350,000
- Accumulated Depreciation	<u>-50,000</u>
Net Building	\$300,000
Land	<u>\$325,000</u>

Total Long-Term Assets **\$625,000**

Total Assets **\$1,393,000**

LIABILITIES

Current Liabilities

Accounts Payable	\$100,000
Notes Payable	<u>150,000</u>

Total Current Liabilities **\$250,000**

Long-Term Note **\$300,000**

Total Liabilities **\$550,000**

Owner's Equity **\$843,000**

Total Claims **\$1,393,000**

A snapshot of assets and claims against those assets. Shows what the company owns, owes and how it is financed.

Financial Statements You Will Need:

Income Statement

OPERATING ACTIVITIES, CASH FLOWS PROVIDED BY OR (USED) IN:	
Net sales	\$1,200,000
Cost of Goods Sold	850,000
Gross Profit	\$350,000
Selling, general, and admin. Expenses	311,000
Income from operations	\$39,000
Interest expense	9,000
Income before taxes	\$30,000
Income taxes	12,000
Net Income	\$18,000

Shows revenue and expenses and provides a ‘bottom line’ of profitability over a specified period.

Financial Statements You Will Need:

Cash Flow Statement

OPERATING ACTIVITIES, CASH FLOWS PROVIDED BY OR (USED) IN:

Depreciation/Amortization	\$50,000
Changes in A/R	(\$345,000)
Changes in A/P	\$100,000
Changes in Inventory	(\$100,000)
Total Cash Flow from Operating Activities	(\$277,000)

INVESTING ACTIVITIES, CASH FLOWS PROVIDED BY OR (USED) IN:

Payment for acquisition of PPE	(\$350,000)
Sale of PPE	\$0
Total Cash Flow from Investing Activities	(\$350,000)

FINANCING ACTIVITIES, CASH FLOW PROVIDED BY OR (USED) IN:

Issuance of Stock	\$600,000
Dividends	
Net Borrowings	\$150,000
Total Cash Flows From Financing Activities	\$750,000
Net increase/Decrease in Cash:	\$123,000
Cash at beginning of period	\$0
Cash at end of period	\$123,000

Shows sources and uses of cash as well as net change on cash over a specified period.

Collateral / Guarantees



Something of value that you own or will buy with money from the loan that you can “pledge” to secure a loan

Most lenders also require the business owners to **personally guarantee** the business loan

=

a promise to **personally repay** the business loan even if the business fails.



Capital / Contribution



**How much will you be investing in your business?
Do you have “Skin in the game?”**

- Owner infusion includes money you have invested in the business
- Shows your commitment to the business and what you have at risk if the business fails
- Varies based on the lender or financing source. Be prepared to provide at least 10-30%
- With traditional lenders, lack of owner infusion usually means loan will be turned down

Conditions



**Loan conditions that a lender considers
when approving your loan**

Conditions include:

- Loan amount
- Interest rate
- What you will use the loan for: real estate for your business, equipment, inventory, or working capital
- How well people are doing in your community and how well your business' industry is doing

SBA Loan Programs



Lending partner



Loan



Small business
(You)

SBA reduces risk and enables easier access to capital.

- The SBA works with lenders to provide loans to small businesses. The agency doesn't lend money directly to small business owners.
- SBA lenders still consider the Five Cs of credit
- The SBA reduces risk for lenders and makes it easier for them to access capital.
 - This makes it easier for small businesses to get loans.

<https://www.sba.gov/loans>

SBA Loan Programs

- From \$500 - \$5.5 million to fund your small business
 - SBA-guaranteed loans range from small to large and can be used for most business purposes
 - SBA-approved lenders can match you with the right loan for your business needs



Working Capital - Like seasonal financing, revolving credit or refinanced business debt



Fixed Assets - Like furniture, real estate, machinery, construction and remodeling

Other SBA Loan Programs

7(a) Loan Program

- SBA's primary business loan program

SBA 504 Loan

- Real estate & Long-term use equipment

SBA Express Programs

- Loan amounts of up to \$500,000
 - Streamlined, expedited loan process

SBA Microloans

- Loan amounts of up to \$50,000
- Administered by CDFIs/Non-Profit Lenders
 - Credit requirements not as stringent
 - Management/Technical Assistance provided

SBA Loan Eligibility Requirements

- SBA loan eligibility is generally based on what a business does to receive its income, the character of its ownership, and where the business operates
- Normally, businesses must meet size standards, be able to repay, and have a sound business purpose
- The lender will provide you a full list of eligibility requirements for your loan



Be a for-profit business

The business is officially registered and operates legally.



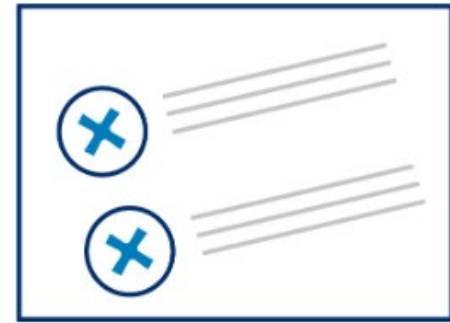
Do business in the U.S.

The business is physically located and operates in the U.S. or its territories.



Have invested equity

The business owner has invested their own time or money into the business.



Exhaust financing options

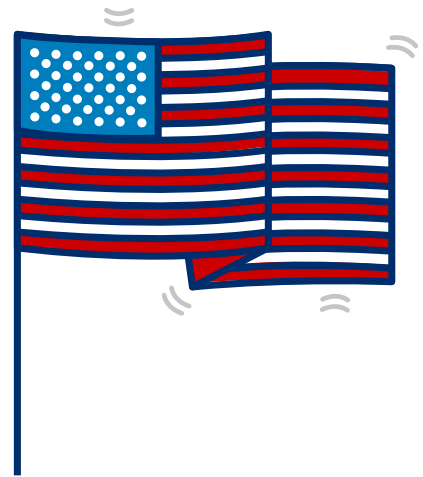
The business cannot get funds from any other financial lender.

Not Eligible for SBA Financing

- Gambling or speculation
- Real estate investment/
other speculative
activities
- Lending activities
- Multi-level marketing
firms
- Marijuana Industry
- Businesses providing
sexual material
- Non-profit organizations
- Illegal Activities
- Borrowers that have
defaulted on federal loans
or financing

Fee Relief for Veteran Borrowers

- **Zero Up-front Guaranty Fees on SBA Express Loans for military community members, including:**
 - Soon-to-be discharged active-duty service members, eligible for military Transition Assistance Program (TAP)
 - Reservists, National Guard members
 - Veterans
 - Current spouse of any of the above
 - Widowed spouse of service member or veteran who died during service or from service-related disability



Your Local SBA Team

Can connect you with business advisors

- Assist with cash flow analysis and financial projections

Can help you find the right lender

- Can connect you with lenders that have loan programs appropriate to your stage of business, industry, financing needs, demographic, risk level, etc.

USDA Loans & Loan Guarantees

- Businesses in rural areas can use for:
 - New business start-up expenses
 - Acquiring an existing business
 - Purchasing land, buildings or facilities
 - Modernization & other business improvements

What are some advantages of SBA and USDA Loans?

- For banks/credit unions:
 - Less risky for them because the government “guarantees” a percentage of the loan
- For YOU:
 - Can obtain loan without as large of a down payment or as much collateral on-hand
 - Good interest rates and longer terms
 - No balloon payments or demand clauses

Key Takeaways

- Understand how a lender or financier will evaluate your project and what your options may be
- SBA loan programs can provide financial assistance for a variety of business needs
- SBA resource partners have assistance available for procuring financing

Questions, Discussion, & Survey

(Survey link is located on the next slide)

Please Tell Us How We Did

- On your laptop, tablet, or smart phone visit tinyurl.com/SBA-B2BSurvey or use cell camera to access the survey QR Code
- Please select “**Introduction to Entrepreneurship (2-day course)**” as the course you completed
- All responses are voluntary and kept confidential



Thank you for completing our survey! Your input will help us to serve you better.